9.
The Party State, Class Formation, and the Decline of Ideology

NLMs in southern Africa provided for the political aspiration of frustrated nationalists, intellectuals, and revolutionaries to confront settler rule and colonial capitalism. The nature of their struggle took them into espousal of alliances between the petty bourgeoisie, working class, and peasantries, although the political weight of these different classes varied between the movements. As such, they became the locus of progressive tendencies aiming at the realization of democracy, human rights, and socialism, these ideas borrowed from liberating Western traditions (liberalism, Christianity, and nationalism) which, paradoxically, were imported as ideological dimensions of the oppressive practices of settler colonial rule. At the same time, the radicalization of the struggle caused by the rigidity of the settler state was to prompt liberation movements to adopt strategies guided by Marxism-Leninism, which from 1927 had argued for the simultaneity of nationalist and socialist struggle. This did not mean that liberation movements were 'communist', as they were regularly accused of being by their Cold Warrior detractors. Rather, it meant that NLM ideologies constituted an uneasy mix of liberalism, nationalism, and Marxism-Leninism. However, once NLMs assumed power, the nationalist and Marxist-Leninist aspects of their ideologies tended to overwhelm (although never entirely extinguish) their liberalism.

The Marxist-Leninist tradition provided a coherent framework for understanding settler societies as simultaneously embodying racial, national, and class oppression. It also brought with it two particular conceptions which were to profoundly influence the post-liberation state: the ideas of the party as the vanguard of historical advance and of the need for the capture of state power. The outcome was the blurring of the personnel and roles of party and state, and the rise of the 'party state'.

The party state was simultaneously a 'party machine', a vehicle for the upward mobility of party elites and for material accumulation justified ideologically by reference to the historical rightness of transformation. Strategies of Africanization, affirmative action, BEE, and/or indigenization were central to this historical tendency. According to the theory of the NDR, a removal of racial shackles from the stunted class of capitalists whose development was held back by settler colonialism would enable the growth of a class of 'patriotic capitalists' able to challenge the prior dominance of white and international capital. However, the danger was that emergent black capitalists might acquire a material independence from the party state and come to challenge it. On the other hand, the primacy of the party state implied that the 'patriotic bourgeoisie' would become wedded to 'political connectivity'. Although enhanced educational opportunity and affirmative action would provide greater possibilities for

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formerly racially oppressed individuals to rise through the ranks of state and business to constitute a significant black middle class, they might simultaneously tie the fate of such elements to political favour.

It follows that the accumulation strategies of proto-capitalist and black middle-class elements were to become heavily centred on access to the party machine and its power to allocate resources. Simultaneously, because such resources were limited, the party machine became prone to internal strife between factions and networks (based around region, ethnicity, opportunity, industry, etc). Meanwhile, the centrality of the party machine to the accumulation process led to the party becoming ideologically hollowed out: ideologies which had become radicalized as the liberation struggles had intensified were to record substantial changes in their form and content as a party-state bourgeoisie consolidated. Two changes can be highlighted: first, a shift from socialism to 'transformation'; and second, the instrumentalization of ideology as a weapon in intra-party combat. A substantive outcome has been the replacement of social equality as an ideal by a stress on postcolonial racial equality.

Party predation, primitive accumulation, and class formation in Zimbabwe

Daniel Compagnon argues that whether or not it claimed Marxism as a creed, the incoming nationalist elite in Zimbabwe was primarily motivated by the prospects of upward mobility and accumulation offered by the capture of the settler state.[1] Similarly, David Moore has characterized a Zimbabwean 'party-state bourgeoisie' as having embraced a process of 'primitive accumulation'. Rather than diverting resources into productive investment, this kleptocratic bourgeoisie engaged in parasitic and mercantile activities which by the mid-2000s had totally bankrupted the state.[2] For this bourgeoisie, membership of the party-state machinery and the access it gives to position, privilege, power, and opportunity has become vital.

The majority of the nationalist leadership in Zimbabwe was part of an emerging African petty bourgeoisie in the 1950s and 1960s. The strongest components were former mission-school teachers (like Mugabe himself), nurses, and low-ranking civil servants who were frustrated by their lack of opportunity in segregationist Rhodesia. Entering nationalist politics was perceived as the fastest route to an improved status. 'Subsequent accumulation strategies were rooted in these early – largely legitimate – grievances', with one of the effects of the 1970s' armed struggle being to harden the determination of the nationalists to acquire wealth through the conquest of the state. Because government had played such a strong role in settler society, ZANU-PF's official socialist ideology 'conveniently justified a stronger direct and indirect control of the national economy of the 1980s'.[3] However, in spite of struggle rhetoric citing

[1] Daniel Compagnon (2010), *A Predictable Tragedy: Robert Mugabe and the Collapse of Zimbabwe*, Pennsylvania: University of Pennsylvania Press.

[2] David Moore (2003), 'Zimbabwe's triple crisis: Primitive accumulation, nation-state formation and democratisation in the age of neo-liberal globalisation', *African Studies Quarterly*, 7: 2 and 3, 35–47. See also http://web.africa.ufl.edu/asq/v7/v7i2a2.htm

[3] Compagnon, op. cit., 193.

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the necessity of control of the means of production, Mugabe's government – constrained by Lancaster House, the advice of fellow African leaders, and the promises and reality of foreign aid – did not significantly alter the capitalist structure of the economy. The preservation of a large, white-controlled, private sector within Zimbabwe's mixed economy would mean that opportunities could be generated for the emerging black elites, while the expansion of the public sector provided a valuable resource for Mugabe's political patronage, lucrative positions for party cadres, political cronies, and family members. Through state interventions (expansion of the number and reach of parastatals, launch of party-related enterprises, pricing policies, and pressures on companies to sell to the state or to provide 'rents' to party connected elites) new opportunities were created for members of the new ruling class to enrich themselves.

Meredith has noted how rapidly the new elite of politicians, civil servants, and military and police chiefs adapted to the lifestyle once reserved for whites: 'moving into spacious houses; driving expensive cars; dining in fashionable restaurants; and buying farms, hotels and businesses,' as well as enrolling their children in private schools and staging sumptuous weddings, lavish funerals, and grand weekend parties.[4] Corruption within the civil service and amongst politicians became rapidly entrenched. One instance that hit the headlines in 1997 involved revelations that a long-term housing scheme administered by the Ministry of Local Government and National Housing had dished out loans to cabinet ministers and senior civil servants to build houses while denying loans to qualified people who had made required monthly payments. By January 1988, some 177 civil servants had been convicted since independence on corruption-related charges, while some 758 cases were outstanding.[5]

From early days, Mugabe lamented the corrupting influence of office amongst his senior party colleagues and the loss of a spirit of dedicated service amongst the party rank and file. He lashed out at ministers and other politicians on the eve of the anniversary independence in 1983:

> Even if the present White owners of property and natural resources were to be replaced by Black owners of property and natural resources, the need for a socialist revolution would still remain urgent. A bourgeoisie does not cease to be exploitative merely because its colour has turned Black or because it is now national rather than foreign…I wish to express my utter dismay at the bourgeois tendencies that are affecting our leadership at various levels of government.[6]

Local government councillors and mayors were using their positions to assign themselves money-making contracts, misappropriating public funds, and misusing public property, while:

> Even Cabinet Ministers…have proceeded to acquire huge properties by way of commercial farms and other business concerns…those who should mete out social justice to the people and society turn into a class of avaricious exploiters of the masses, and so traitors to their cause.[7]

[4] Martin Meredith (2002), *Robert Mugabe: Power, Plunder and Tyranny in Zimbabwe*, Johannesburg and Cape Town: Jonathan Ball Publishers, 81.
[5] *ACR 1987–88*, B847.
[6] *ACR 1982–83*, B883.
[7] Ibid.

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At this stage, while pragmatic with regard to the need to abide by the terms of Lancaster House, Mugabe remained explicitly committed to building a socialist society (even if he was beginning to speak less of Marxism-Leninism). Denunciations of officials and leaders who used their positions to accumulate wealth were a regular theme of his speeches. Such behaviour was nothing less than 'daylight robbery', and 'socialist deviants' had to choose between their individual interests or 'walking the road to Socialism'.[8] By 1984, a party Leadership Code required that all party officials and senior civil servants owning more than 50 acres of land, more than one house, engaged in business, or raised loans except against the security of their earnings should declare their earnings and disclose how they acquired them.[9] Subsequently, a list of those failing to declare their assets was drawn up by the Central Intelligence Organization (CIO) but although they were given a warning, no action was taken against them. As Meredith observed of the code, 'no one paid much attention to it'.[10]

One reason was the shallow basis for socialism. Despite early post-independence declarations by Mugabe that ZANU-PF would declare formally for Marxism-Leninism, no grounding had been laid by the party. As observed by Maurice Nyagumbo, the party's national organizing secretary prior to ZANU-PF's first national congress since independence in 1984, there had been no political training of workers and peasants, and as a result, there was no ideological consciousness amongst them.[11] Indeed, in 1987, Mugabe openly castigated workers as irresponsible, lazy, and ill-disciplined and reminded them that Lenin had warned that 'those who don't work, neither shall they eat'.[12] However, it was the blatantly unsocialist behaviour of the party elite which more regularly aroused his ire.

Although he regularly threatened to choose a new party leadership that adhered to Marxist-Leninist thinking, Mugabe lacked the inclination to tackle the internal opposition this would arouse. In practice, it was far more important to keep the support of that same leadership which he was criticizing. Thus in 1985, the President gave his permission for General Solomon Mujuru, a key figure who had quelled the internal party revolt aimed at toppling him in 1978, to expand his business interests. Mujuru proceeded to acquire a supermarket chain as well as two farms, a hotel, and other properties in the Bindura area so that by 1992, when he resigned from the army, he had allegedly become one of the country's wealthiest individuals. Further, within a few years, he was to become the country's biggest landowner (although his business empire in Bindura was to collapse as a result of bad management).[13] However, the defining case of the era was the Willowgate scandal, when allegations were made by the *Bulawayo Chronicle* that a number of ministers had obtained new cars from the Willowgate assembly plant and sold them on at greatly inflated prices. Mugabe responded by establishing a Commission of Inquiry under Judge President Wilson Sandura in January 1989 whose proceedings led to the resignation of three ministers and a junior minister, Frederick Shava, along with

[8] *ACR 1986–87*, B892.
[9] *ACR 1983–84*, B879–880.
[10] Meredith, op. cit., 81.
[11] *ACR 1984–85*, B872–873.
[12] *ACR 1986–87*, B891–892.
[13] Meredith, op. cit., 82; Compagnon, op. cit., 203.

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that of Maurice Nyagumbo (who then committed suicide). However, rather than prosecuting the offenders, Mugabe initiated (or at least condoned) the removal of the editor of the *Chronicle*, after which he used his presidential prerogative to pardon Shava after he had been convicted, thus precipitating the collapse of the Sandura Commission. Principle was trumped by party unity (especially at a time when the latter was reeling from the defection of Edgar Tekere to form ZUM).[14]

Reference to socialism might be used by Mugabe to constrain the behaviour of the nationalist elite, but more particularly Marxist-Leninist jargon was used to castigate the small pre-independence grouping of African entrepreneurs which had developed within the settler economy as a 'petty bourgeoisie'. ZANU-PF had little sympathy for blacks who had run successful businesses during the war. Whereas such African businessmen favoured market-oriented policies, the government favoured statist policies and a regulated economy. The populist-oriented labour policies of ZANU-PF in the first half of the 1980s, when wages were raised and the ZCTU established, 'made that ideological conflict more apparent'.[15] Little was done to promote the cause of African entrepreneurs, and those with an independent power base were regarded as a potential political threat to ZANU-PF leaders whose power was built on patronage. An illustrative case is that of Strive Masiyiwa, a particularly successful businessman. Although not a member of ZANU-PF, he was a member of the wider elite, and indeed, was part of Mugabe's extended family. After working for the government-owned Posts and Telecommunications Company (PTC), he formed his own electrical construction company, Retrofit, and soon secured several contracts from government (including the installation of the electrical system in Mugabe's rural mansion in Zvimba). However, when in 1994 he decided to enter the cellular telephone market in Zimbabwe and obtained a December 1995 Supreme Court judgement declaring the PTC monopoly on telecommunications to be contrary to the Bill of Rights, he infuriated his kinsman. Thereafter, his contracts with government were cancelled, and he was subject to vicious attacks from ministers and civil servants. After receiving death threats, he moved to South Africa for a period to ensure his safety. Masiyiwa's mistake was that he had openly criticized government economic policies, and through his leadership of the moderate IBDC had sought to mobilize an urban petty bourgeoisie in favour of an indigenization process which would have been independent of the party.[16]

Such incidents did not mean that the nationalist elite were hostile to business *per se*. On the contrary, key members of the ZANU-PF were soon heavily involved in business ventures. 'Through the years, names of ministers, MPs, Central Committee members, and high ranking civil servants would appear on lists of board members of private companies', some just 'eating', some using their positions for the more vigorous pursuit of wealth.[17] Indeed, throughout

[14] *ACR 1988–89*, B771.
[15] Compagnon, op. cit., 195.
[16] Ibid. Masiyiwa is nothing if not persistent. In 1998, he managed to launch his cell phone company, Econet Wireless, on the Zimbabwe Stock Exchange. It rapidly became the largest cell phone network in Zimbabwe, expanded into other African countries, and was subsequently launched on the London Stock Exchange.
[17] Ibid.

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the 1980s, retired civil servants and ZANU-PF politicians were used as middlemen for white-owned corporations as political connections became increasingly vital to operate businesses in an economy ridden with all types of regulations and state interventions, so much so that by the end of the decade, there was the prospect of an unlikely, but real 'alliance between white settlers and the state'. By the early 1990s 'a merger between white and black elites appeared as a plausible scenario for the development of a post-independence ruling class'.[18]

Compagnon identifies the Willowgate scandal as a turning point which provided graphic evidence of a state-controlled economy which had limited benefits for established business.[19] A 'command economy' under the control of the ZANU-PF elite had become largely paralyzed by its own weaknesses: an oversize state bureaucracy, bloated parastatals, a ballooning budget deficit, and white-dominated, export-led commercial agriculture and mining sectors which were increasingly being squeezed by a shortage of foreign exchange to buy spare parts or invest, alongside a complex of regulations on prices, wages, repatriation of profits, and foreign exchange allocation, and so on which increasingly affected the competitiveness of the manufacturing sector. Capital goods installed in the 1950s and 1960s badly needed replacement, and the state was not in a position to sustain public investment at the level of the early 1980s, despite a significant inflow of foreign aid and high levels of corporate and personal income tax. By the late 1980s, the state's high level of spending on education and health for the poor was becoming unsustainable without a higher level of growth and increased private sector investment. The outcome was the adoption of ESAP: a shift to market-based reforms away from the command economy, the liberalization of foreign exchange and the import of various commodities, together with a reduction in public spending and the privatization of some parastatals.

Hevina Dashwood argues that the imposition of ESAP was a product of 'the emergence of a consensus among senior decision-makers that market-based reforms were desirable; the strong support of the entrepreneurial and agrarian elites for market-based reforms; and the embourgeoisement of the ruling elite'.[20] Compagnon is more doubtful, arguing that there was no conversion to neo-liberal economics on the part of the ZANU-PF leadership (with Mugabe being particularly hostile) and that they were no more committed to neo-liberalism than they had been to socialism. Instead, economic liberalization and privatization were embraced only to the extent that they provided the opportunity to manipulate economic policy to favour their own interests. They proceeded to slash expenditure on health, education, and social services, yet maintained high levels of spending on defence, redundant ministries such as National Affairs (which served as an unofficial channel for funding ZANU-PF), and maintained a bloated government structure which continued to provide extensive perks to ministers and senior civil servants. Indeed, it was the World Bank rather than the government which insisted on the creation of a Social Development Fund to cushion the poor against the worst effects of ESAP. In contrast, the elite showed marked caution when it came to privatization of loss-making parastatals, for

[18] Ibid., 96.
[19] Ibid., 198–99.
[20] Hevina Dashwood (2000), *Zimbabwe: The Political Economy of Transformation*, Toronto: University of Toronto Press, 191.

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control of these was directly in its interests. By the end of the 1990s, only three out of fifty-odd parastatals – the Cotton Marketing Board, the Cold Storage Commission, and the Dairy Marketing Board – had been commercialized, with the state continuing to retain a controlling shareholding so that it was able to influence the appointment of directors and company policies. Nonetheless, after continuing negotiations with the Bretton Woods institutions, the government adopted the second phase of ESAP in 1998, listing 52 companies to be commercialized and then privatized. This facilitated the approval of a standby facility of US$193 million by the IMF in August 1999.[21] However, it was too late to rescue the incipient class alliance between the ZANU-PF elite and white business.

By this time collaborative relations between the government and business were becoming increasingly fraught, as the political elite embarked upon strategies of shameless predation in the name of 'indigenization'. Socialist discourse and the Leadership Code had become obsolete as a legitimizing ideology, and 'a new political rhetoric was needed to allow ZANU-PF big men to take full advantage of economic liberalization and to provide a smokescreen for accumulation strategies'.[22] 'Indigenization' became the slogan of the 1990s, and was used to legitimize the shameless seizure of private assets by the party-state elite, in many cases at the expense of genuine African entrepreneurs. The primary target soon became the white business sector and, after 2000, commercial farming, as continued white control of the most lucrative sectors of the economy was portrayed as the major obstacle to the empowerment of black Zimbabweans. Propaganda by individuals attached to the AAG was laced with racially charged undertones urging Mugabe to confiscate white land without compensation and to force established international companies to sell their assets. Yet the triggering event which ensured that indigenization became the backbone of Mugabe's economic policy was his encounter with the war veterans.

In 1997, enraged by the suspension of payments made to former combatants in the bush war by the War Veterans' Compensation Fund, veterans had jeered Mugabe at a Heroes' Day rally, following which the President appointed a judicial Commission of Inquiry. This confirmed allegations that the fund had been looted by top officials and civil servants who had received payouts on grounds of various degrees of disability (prompting Independent MP Margaret Dongo to remark caustically that she was surprised that the government could still function, administered as it was by so many ailing people).[23] However, it was the veterans' fury at the pillaging of their funds that catapulted Chenjerai 'Hitler' Hunzvi to political prominence and was ultimately to prompt Mugabe into backing the seizure of white farms.

By the late 1990s, mounting economic difficulties were translating into a reduced level of sources for appropriation, so it is no coincidence that the political elite plunged Zimbabwe into the war in the DRC. Horace Campbell stresses how ZANU-PF and military leaders saw the war as a route to easy riches and as an opportunity to outsmart South African mining capital. Lacking the requisite capital to compete with such major entities such as De Beers and Anglo-American, they moved swiftly to ingratiate themselves with Laurent Kabila, exchanging military support for the right to plunder under such auspices as Zimbabwe

[21] Compagnon, op. cit., 200–02.
[22] Ibid., 202.
[23] *ACR 1996–98*, B782–83.

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Defence Industries (ZDI), an entity which had been established in 1984 as the business arm of the Defence Forces. Even before the overthrow of President Mobutu, ZDI had signed a Z$53 million deal to sell food, bullets, bombs, and uniforms to Kabila's rebel forces; after Kabila was in power, his government allocated hugely lucrative mining, forestry, and agricultural concessions to several private Zimbabwean companies in which government ministers and military officers had either a controlling or major interest.[24] Its board stuffed with active and former military officers and senior civil servants, ZDI then entered a joint venture which flooded the Congolese market with goods not available locally. As Horace Campbell relates, 'Following the generals' example, many ZDF officers operating in the DRC got involved in diamond and gold smuggling and various forms of trafficking, if only by extending their protection to the smugglers for a commission.' Likewise Zimbabwean parastatals were encouraged to enter the Congolese market, initiatives including the proposed renovation of Congolese power plants by the Zimbabwe Electricity Supply Authority, the cultivation of land by the Zimbabwean Agriculture and Rural Development Authority, and the development of exports via the Zimbabwean railway.[25]

Ironically, realizing that they had neither the finance nor technical skills to exploit the deals being offered, members of the ZANU-PF elite struck up alliances with dubious individuals such as Billy Rautenbach and John Bredenkamp (both of whom had built major business empires under UDI and had worked with Smith to break sanctions) and with equally shady foreign partners. Rautenbach, a white Zimbabwean, had been granted a 38 per cent equity in the Congolese mining parastatal Gecamines, which exploited cobalt and copper, in November 1998. Appointed Chief Executive, he promised to make it profitable. Four-fifths of the cobalt-mining rights were to be transferred to a joint venture between Rautenbach's Virgin Island-registered Ridgepoint Overseas Development Ltd, and a company controlled by close advisers to Kabila and his Finance Minister, Pierre-Victor Mpoyo. Then in January 1998 Kabila granted Rautenbach and his associates (who included a string of Zimbabwean military and ZANU-PF officials) a cobalt mine near Likasi, provided it repaired a road between Matadi and Kinshasha. However, in 2000, Kabila cancelled all contracts with Rautenbach after he had failed to restore Gecamines to profitability, although in compensation – and along with Bredenkamp and ZANU-PF cronies – his company, Tremalt Ltd, received an 80 per cent share in Gecamines' concessions of copper and cobalt (being exploited by the Kababankola Mining Company) that were worth more than US$1 billion. The ultimate owners and beneficiaries of Tremalt were hidden by a web of trusts and private holding companies registered in the Virgin Islands and the Isle of Man, but it is known that Tremalt remitted 34 per cent of its profits to ZANU-PF big men under a profit-sharing agreement supervised by George Sekeramayi, a party official close to Mugabe.[26]

[24] Horace Campbell (2003), *Reclaiming Zimbabwe: The Exhaustion of the Patriarchal Model of Liberation*, Cape Town: David Philip, 230–46.

[25] Compagnon, op. cit., 214.

[26] Compagnon, op. cit., 216, drawing from the report of the UN Panel of Experts on the *Illegal Exploitation of Natural Resources and Other Forms of Wealth of the Democratic Republic of Congo, appointed by the Security Council in 2000*, notably paras.156–70. http://www.un.org/News/dh/latest,drcongo.htm

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Mugabe's then General Chief of Staff Vitalis Zvinashe (whose transport company had already cleaned up a contract for carrying military supplies from Harare to the DRC) together with four high-ranking civil servants, formed a company called Osleg (short for the military codename for the intervention in the DRC, 'Operation Sovereign Legitimacy') to exploit diamonds in the ZDF-held zones of the war-torn country. Presented officially as the financial arm of the ZDF, Osleg was in fact a private company with no institutional link to the military, and thus straightforwardly allowed for the privatization of profit on the back of public office. Subsequently, in July 1999, Osleg formed a joint venture called Cosleg with a company in which Kabila was a majority stakeholder. Cosleg was granted exclusive rights to exploit diamonds and other minerals for 25 years in two of the DRC's richest diamond concession areas near Mbuji Mayi that were previously mined by a Congolese parastatal. In turn, Cosleg then formed another joint venture called Sengamines with Oryx-Zimcon, a subsidiary of a firm majority owned by Omanese businessman Thamer al-Shanfari (with Zidco and Congolese interests having minority holdings). Sengamines involved itself in mining operations while Cosleg engaged in timber and manganese processing.[27]

Overall, the war gave a new lease of life to Zimbabwean party-state entrepreneurs involved in transportation, railway, mining, armaments production, and timber. But the beauty of it all was that whereas Kabila had promised that the Congolese would cover the costs of the deployment of Zimbabwean troops, the major part of the burden was actually shouldered by the Zimbabwean taxpayer. In 1999, the Zimbabwean government had admitted to only US$3 million a month being spent on the war, and thereby duped the IMF into agreeing a line of standby credit in August of that year. When in September 2000 Finance Minister Simbi Makoni revealed that Zimbabwe had spent US$263 million on the war, the IMF pulled the plug. Subsequently, as the war was brought to a conclusion through South African and other negotiation, Mugabe maintained a peculiarly close relationship with Kabila, and Compagnon deems this to have been crucial for the perpetuation of Zimbabwean business interests in the DRC. Indeed, six new trade and service agreements were signed between the DRC and Zimbabwe prior to the announcement of the withdrawal of ZDF troops from the diamond centre of Mbuji Mayi late in August 2002.[28] From then on, the appropriation of settler farms under the fast track land reform was virtually child's play.

As indicated above, the land reform process was to see significant allocation of land to peasants and small farmers. Nonetheless, an investigation published in late 2010 which drew information from government documents and audit reports, and is compatible with Moyo's analysis, suggests that a 2,200 strong politically connected elite controls close to half the land seized from white farmers, with President Mugabe, his wife, ZANU-PF cabinet ministers, senior military officers, provincial governors, senior party officials, chiefs, and judges owning nearly 5 million hectares of agricultural land, including wildlife conservancies and plantations. At the top of the pile, according to the report, were Mugabe and his wife, who owned some 14 farms (extending to 16,000

[27] Ibid., 216–17.
[28] Ibid.; and Campbell, op. cit., 230–46.

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hectares); his deputy, Joyce Mujuru, together with her late husband, former army General Solomon Mujuru and their close relatives, who owned at least 25 farms; and Constantine Chiwenga, the Defence Forces Commander, who had two farms near Harare, including the 1,200 hectare Chakoma Estates, which his wife allegedly seized from its former owners at gunpoint.

Overall, 90 per cent of the nearly 200 army officers from the rank of Major to Lieutenant-General owned farms, this pattern replicated throughout the air force, police, and prisons service, and the CIO, so that there are in total some 400 officers from the security forces who are alleged to have received farms above 250 hectares, while many lower-ranking officers and war veterans had smaller holdings. Similarly, all ZANU-PF cabinet ministers, 56 politburo members, 98 Members of Parliament, and 35 elected and unelected Senators had been allocated former white farms, with many owning more than one; all 10 provincial governors had seized farms, with 4 being multiple owners; and 65 per cent of the more than 200 mostly partisan traditional chiefs had also benefited from the land reforms. Likewise, 16 Supreme Court and High Court Judges, including Chief Justice Chidyausika, owned large farms ranging between 540 to 1,380 hectares; and 40 serving and former ambassadors, and over two-thirds of parastatals bosses also owned large tracts of land. Surprisingly, the Reserve Bank of Zimbabwe Governor Gideon Gono had missed out, but allegedly managed to buy four farms at knockdown prices from farmers who were under pressure from invaders to leave their properties. Meanwhile, no high-profile civil society or MDC officials had benefited, with the sole exception of Welshman Ncube, the Secretary-General of the splinter MDC.[29]

The skewed nature of the land allocation process has, unsurprisingly, failed to translate into productive commercial farming. Many former white farms have been allowed to run down or lie fallow, with beneficiaries having hopped from one farm to another. In other cases such as that of Perence Shiri, who commanded the Fifth Brigade's crackdown on Matabeleland in the early 1980s, seizure of farms has led to the eviction of numerous landless families. Many of the elite have become what Mugabe himself has termed 'mobile phone farmers', using their farms for recreation, leaving it to peasant and smaller farmers to engage in productive farming. Legal restrictions on the ownership of more than one farm are totally ignored, for politically accessed land ownership has become central to the alliance that holds ZANU-PF, the senior ranks of the public service, and the military together.

Yet after land, it is diamonds that remain ZANU-PF's best friend, even after the military pull-out from the DRC. Before 2004, diamond production in Zimbabwe was mainly limited to accidental finds in alluvial gold diggings, with the exception of the River Ranch kimberlite mine near the South African border. However, during the late 1990s, Rio Tinto Zimbabwe discovered a kimberlite cluster at Murowa, in central Zimbabwe, and began mining in 2004, producing diamonds, with an average value of US$65/ct. Then came the Marange strike of 2006 in Manicaland, close to the Mozambique border. The large proportion of diamonds from Marange are coarse and of low quality, worth at the time between US$6–10/ct; but around 10 per cent were of far higher quality, with a value of up to $150/ct. Legal control of the Marange diamond field had been

[29] The authors remain anonymous for reasons of personal safety.

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gained by African Consolidated Resources (ACR) after De Beers had relinquished its claim in April 2006. In June, the company went public with news of a big discovery of alluvial diamonds; in December, it was thrown off its concession by the military. By now a frenzied diamond rush had developed, with some 15,000 informal diggers scrabbling for diamonds for sale to a thriving black market. However, because Zimbabwe did not move to a US-dollarized economy until March 2009, only foreigners and ZANU-PF connected elites possessed the hard currency needed to buy and sell the diamonds, with most sales made to Lebanese buyers operating on the Mozambican side of the border. Inevitably the lion's share of the smuggling was controlled by elements within the military.[30]

At the same time as it had expelled ACR, the government had sent in the police to drive out the informal diggers with sjamboks, guns, and dogs but over subsequent months they quietly returned. This prompted the security forces to strike back in October 2008 with armed helicopters accompanied by police support units on the ground. There were reports that they mowed down up to 200 people. By January 2009, the vast Chiadzwa diamond fields resembled a military garrison. The miners had gone, but mining continued, this time by soldiers and by residents of Marange village (including children) in forced labour under military supervision.[31]

By this time, the government had appointed the MMCZ to act as the sole buying and selling agent, and had handed out licences to three mining companies, reputedly financed by South Africans but fronted by Zimbabweans who all had close links to ZANU-PF. One, Mbada Mining, backed by Johannesburg-based New Reclamation Ltd, was the best resourced and infamous for having had to pay huge fines after entering into plea bargains with the South African NPA to avoid prosecution for illegal bargaining practices. Another, Canadile, was a joint venture of the South African-registered Core Mining and the Zimbabwe Mining Development Corporation (ZMDC). A further sinister development was the alleged receipt of off-budget financing (perhaps as much as US$100 million) by the CIO from Sam Pa, a businessman who held leadership positions in an obscure network of companies known as the Queensway syndicate (largely owned by private Hong Kong business interests) and with a track record of opaque 'resources for infrastructure' deals across sub-Saharan Africa. In return, Sam Pa received diamonds and accessed business opportunities in the cotton and property development sectors.[32]

By 2009, international outrage at the human rights abuses occurring in Marange had forced the Kimberley Process, to which Zimbabwe was a signatory, to call a halt to the sale of Zimbabwean diamonds until conditions improved. The ZMDC responded with a security strategy for the Marange area which would see a total demilitarization of the 400-square-kilometre zone. An outer perimeter would be secured by the army and the police, while security inside the diamond fields would be handled by civilian operators, recruited and trained by the mining companies, which in turn committed to provision of extensive social facilities, such as schools and clinics, for the local population.

[30] Partnership Africa Canada (2009), *Zimbabwe, Diamonds and the Wrong Side of History*, March.
[31] *Sunday Independent*, 12 December 2010.
[32] Global Witness (2012), *Financing a Parallel Government? The Involvement of the Secret Police and Military in Zimbabwe's Diamond, Cotton and Property Sectors*, June.

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In addition, the Zimbabwean government agreed to take action on smuggling and the legalization of small-scale mining. However, within two weeks of the KP go-ahead for the resumption of sales, it was business as usual for the Defence Force. By December 2009 it had brought in machinery and workers to plunder workings already excavated by Candile's operations, with military transports flying diamond-bearing ore to the army base in Mutare. When complaints were made to the government, a retired General was brought in to coordinate security, civilian security operators were forced out and replaced by police and military, following which scores of locals, including children, were reportedly forced to work, being kept in barbed-wire enclosures within the military base, inside the concession area. By the end of 2010, military control of the Marange diamond fields had been reimposed. Indeed, by now, Canadile's stockpile of diamonds had been seized and six of its directors arrested. Mining continued without the involvement of Core Mining, which resorted to action in the Zimbabwean courts.[33]

The formation of the coalition government had radically transformed ZANU-PF's agenda, and tightening its grip over the Marange diamond fields, with their potentially massive riches, became a major priority. This allowed both for rapid accumulation by the politico-military elite and for the massive financing of party operations, with a view to the holding of early elections.

After the resumption of sales under the KP, a first round of diamond sales to international markets had generated US$56 million, but a second round of sales was held behind closed doors. In November 2010, a third consignment of diamonds was certified for sale by Abbey Chikane, the monitor of the now thoroughly ineffective KP. Chikane was a former MK veteran and former member of the ANC's intelligence service, as was George Nene, Director-General of the South African International Cooperation Department. Both were close to ZANU-PF, with Chikane reportedly feeding a report of human rights abuses at Marange to the CIO.[34] Meanwhile, ZANU-PF kept control over the Ministry of Mines and Mining Development within the coalition government, as well as over both the Minerals Marketing and Development Corporations.

Finally, in November 2011, the bankruptcy of the KP was totally exposed when at its annual plenary meeting in Kinshasha, a deal was done which undercut the role of civil society in monitoring activity on the Marange mines. Whereas, under the 2009 agreement, local civil society activists had been granted the official status of being a 'Local Focal Point' allowing them to report back to the KP, this was taken away at meeting which the Kimberley Process Civil Society Coalition had boycotted over fears that substantive concerns about Zimbabwe's compliance would be ignored. Effectively, the KP had thrown away its key point of leverage over the Zimbabwean government by allowing it to export diamonds from the Marange region without first fulfilling its commitments to the diamond trade.[35]

Thus the frenzied looting continued, with reports of massive irregular sales to buyers in the United Arab Emirates, Lebanon, Pakistan, India, and elsewhere. Not

[33] *Sunday Independent*, 12 December 2010.

[34] 'Zimbabwe blood diamonds: The sensational Mr Abbey Chikane', http://cryptome.org.kimberley/kimberly-process.zip

[35] 'Kimberley Process lets Zimbabwe off the hook (again)', http://www.fataltransactions.org/content/download/909/6227/file/111102_KP%20Statement.pdf

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surprisingly, MDC Minister of Finance Tendai Biti claimed bitterly that few revenues were flowing into the Treasury. When Mugabe announced plans to apply the provisions of the 2008 Indigenization and Economic Act to foreign companies and banks in 2011, Tsvangirai denounced them as 'looting and plunder'.[36] However, Prime Minister though he was, he lacked the authority to halt the frantic looting of assets by an arrogant and parasitic politico-military elite determined to cling on to state power and the access to wealth that it granted.

Class formation and constrained opportunities in Namibia

As in Zimbabwe, socialist ideals were rapidly abandoned by a nascent party-state bourgeoisie in Namibia in favour of pragmatic accommodation to the settler-dominated economy. As argued by Tapscott, SWAPO was 'first and foremost a nationalist movement, composed of a broad spectrum of social strata, mobilized towards national liberation' which packaged its populism in the rhetoric of socialism. The cadre of party and military leaders which had emerged in exile formed the core of a new elite. It merged into an expanded organizational elite of senior black administrators, politicians, and business people, which in *de facto* alliance with the established white elite in business and politics, came to inhabit an 'economic and social world largely divorced from that of the majority of the urban and rural poor'.[37] Senior black civil servants purchased homes in the affluent and formerly exclusively white suburbs of Windhoek. By 1993, not a single cabinet minister lived in Katatura, the former bastion of political activism in Namibia, while the elite self-consciously sent their children to formerly exclusively white schools.[38]

Few would disagree with the summary statement that 'a new black middle class' has joined a 'predominantly white elite' in enjoying 'a virtually European standard of living, while broad sections of the predominantly black population live in extreme poverty.'[39] According the African Development Bank, by 2010, only 9 per cent of Namibians could be categorized as 'middle class' defined as living on the equivalent of between N$27 and N$134 in 2005 a day. This middle class was split into a 'lower middle-class', surviving on between N$27 and N$67 a day (3.8 per cent of the population), and an 'upper middle class', earning between N$67 and N$134 daily (5.3 per cent of the population). If it is assumed that the large number of 140,000-odd whites living in Namibia fall into the more elevated segment of this middle class, then the number of black middle-class Namibians has remained remarkably small (especially when compared to South Africa and Botswana, where 19.8 per cent and 29.3 per cent of the populations rank as middle class according to the Bank's very modest definition).[40] It is easy to surmise that the pressure for upward mobility

[36] *Business Day*, 19 April 2011.
[37] Christopher Tapscott (1993), 'National reconciliation, social equity and class formation in independent Namibia', *Journal of Southern African Studies*, 19: 1, 29–39, citation 31.
[38] Ibid., 35.
[39] BMZ (Federal Ministry for Economic Cooperation and Development), Namibia (2010). http://www.bmz.de/en/what_we_do?.../Namibia/zusammenarbeit.html
[40] African Development Bank (2011), *The Middle of the Pyramid: Dynamics of the Middle Class in Africa*.

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amongst black Namibians must be enormous and provides the driving force behind SWAPO-led campaigns for BEE and land reform, even if hitherto these processes have seriously enriched a tiny politically connected elite. In turn, given the racial dynamics of income distribution, it is more than a little likely that black aspirations for upward class mobility and personal enrichment will be expressed in racial terms.

Unlike its ZANU-PF counterpart, the Namibian party-state bourgeoisie is hugely constrained by the overwhelmingly dominant white control of the South African-dependent economy. Unlike its counterpart, it has not been able to establish a command economy. Accordingly, its opportunities for using its control of the government to fashion state-centred patterns of patronage have been severely limited, and it has remained more acutely aware of its heavy reliance on revenues drawn from foreign and domestic corporations and interests which it does not, and is unlikely, to own.

As late as 2002, Namibia was ranked 28th out of 90 countries by Transparency International in terms of perception of corruption – second only to Botswana (24th) in Africa. However, since that date Namibia's ratings have plummeted, down to 56th out of 178 countries, and 6th in Africa.[41] Looking on at developments in Zimbabwe and (as we shall see) South Africa, elements among Namibia's elite seem increasingly eager to consolidate the underpinnings of the still very small party-state bourgeoisie within a context where growing class stratification is beginning to transcend previous racial and ethnic boundaries.[42] This development has seen the increasing embrace by the party-connected elite of corrupt practices.

One such instance involved the disappearance over a number of years of N$100 million via a shady investment transaction by top officials of the Overseas Development Corporation, the money supposedly having been used to enhance foreign investment through an export processing scheme. In 2003 another N$30 million went missing.[43] Subsequent was the loss of N$650 million made by the GIPF in doubtful BEE projects, the transfer of N$30 million by the Social Security Commission to a politically connected firm, and the general tendency for BEE projects to funnel public assets into private hands.[44] For some of the politically connected elite, complains one observer:

> …anything that is not bolted to the floor is a good candidate for theft…the litany of either theft or corruption cases is now getting out of hand…some of these schemes take the form of facilitation fees, commissions or kick-backs sometimes running into millions, while others are simply theft. For example, how does one explain the N$100 million that was apparently 'invested' in Botswana which has disappeared without trace? Then you have the 'loan' given to former President Laurent Kabila of the DRC amounting to approximately N$50 million, the N$30 million at the Social Security Commission, N$3 million to buy arms from a bogus arms dealer, 42 brand new laptops at the ECN gone without any trace, missing diamonds running into millions of dollars at a polishing factory in Okahandja; not to mention the thousands of

41 *New Era*, 20 May 2011.
42 Tapscott, op. cit., 31.
43 Henning Melber, 'Poverty, politics, power and privilege: Namibia's black elite formation' in Henning Melber (2007) *Transitions in Namibia: Which Changes for Whom?*, Uppsala: Nordic Africa Institute, 118.
44 Ibid.

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> dollars that usually go missing at our magistrates courts, government ministries, parastatals, including also Unam (the University) which is supposed to be a beacon of good governance?[45]

The growth of parasitic behaviour is occurring despite proclaimed attempts by President Hifikepunye Pohamba to stamp out graft and corruption. However, such measures have proved highly uneven. In 2005, the Deputy Director in the Auditor-General's office lamented the leniency of checks and balances in public accounting and complained that instructions regarding transparency were 'totally ignored' by senior civil servants. Yet in 2010, anti-corruption enforcers laid charges against two senior Nambian officials, alongside a Chinese executive of a company, Nuctech, run by the son of Chinese President Hu Jintao, in connection with a N$12.8 million kickback for the sale of twelve X-ray scanners to the Namibian government.[46] This was despite the embarrassment this caused to the Chinese government, for allegedly this was but one example of an increasingly cosy arrangement between the politically connected and Chinese investors:

> The Chinese…were brought here by the Namibian regime for a purpose. They are always first in line to receive most of the multi-million government tenders…In the building industry they have now virtually replaced Namibians. And it doesn't end there; local corrupt officials are also selling communal land to the Chinese to rake in a quick buck. The same goes on in the fishing, tourism and the mining sectors where the elite are given quotas, licenses and EPLs (Exclusive Prospective Licences) which they then just sell to foreigners who end up controlling and thereby owning the country['s] natural resources. Thus the field for all sorts of corrupt activities is quite open and is widening further. The problem is that there are simply too many bribe-takers in the country. So in this sea of corruption, I don't see how we are going to arrest this growing national endemic within the current political set-up with its weak political institutions, including the justice system and also lack of political will on the part of leadership despite all the talk especially from President Pohamba who when he became President said 'there will be zero tolerance for waste and corruption in public life.'[47]

Against this, the Anti-Corruption Commission (ACC) pulled back from investigations into the award of a major contract by Namcor, the country's state oil corporation, to Namibia Liquid Fuel, a joint venture established by Philco Twenty. The latter is a BEE company, owned by former State House officials and other persons politically connected to former President Sam Nujoma, and the South African-owned Sasol. Indeed NLF had been set up only in 2004 on the initiative of Sasol in response to an advertised tender calling for a joint venture with a local company. ACC Director Paulus Noa indicated that as far as his agency was concerned, nothing prosecutable could be found in terms of the Anti-Corruption Act when the ACC investigated the three-year US$330 dollar deal to import 450,000 tonnes of fuel per year from South Africa. (The deal was reportedly later extended to five years.) Noa said that former Prime Minister Theo-Ben Gurirab had approved the NLF deal, through which the company reaped a US$55 million profit, even though examination of the transaction revealed that from the purchasing of the fuel in Durban to its transport to

[45] *The Namibian*, 9 August 2011.
[46] *New York Times*, 8 April 2010.
[47] *The Namibian*, 2 November 2011.

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Namibia, the Namibian company was involved on paper only. According to a former trade unionist holding 14 per cent of the shares in NLF, the shareholders were 'just black entrepreneurs who needed the money'. The Namibian National Society for Human Rights stated that it was 'deeply dismayed, but not surprised' by the decision, for political patronage had become increasingly institutionalized since independence.[48]

For all that high SWAPO officials and politics decry such deals, warn about the spread of greed and corruption, and admit that get-rich-schemes masquerading as BEE widen the gap between rich and poor, they appear reluctant to do much about it. In Namibia, the party-state bourgeoisie has little choice but to maintain its class alliance with white capital, even while its abandonment of socialism in favour of black empowerment indicates its increasing impatience with the limits to accumulation set by the contours of the branch-plant economy.

Transformation, class formation, and party predation in South Africa

It is in South Africa that the processes of 'transformation' and class formation have become most programmatic. One overview concludes that a fairly rapidly growing black middle class has been the prime beneficiary of ANC rule.[49] The years of the ANC in power, it argues, have registered a remarkable transition away from white minority rule in that today, high political and state office is broadly reflective of the demographic composition of the population, whilst the public sector as a whole has made massive steps towards representivity. This transformation is the single most important factor accounting for the expansion of the black middle class, and is instrumental in consolidating the growth in the distribution of national income accruing to blacks: the African and black shares of total disposable income nationally increased from 35.7 per cent and 48.1 per cent in 1996 to 46.5 per cent and 59.6 per cent in 2007.[50] Thus, blacks now constitute an ever-increasing proportion of the middle class as a whole. According to another study, by 2007 'the burgeoning middle class' was 58 per cent African, 13 per cent Coloured, 6 per cent Indian, and just 23 per cent white, with the self-described upper-middle class being 41 per cent African, 42 per cent white, 8 per cent Indian, and 9 per cent Coloured.[51]

Even so, various fractions of the black middle class have shared these benefits differentially. It is the 'state managers' (senior political officeholders and top managers in parastatals and other state organs), along with the more advantaged members of the 'corporate black bourgeoisie' promoted by BEE, who have benefited the most and joined the majority of whites on higher income levels. In contrast, a considerably larger 'civil petty bourgeoise' (composed of middle- to lower-level public sector workers, along with independent professionals, many

[48] *Afrol News*, 9 August 2011; Melber, op. cit., 122.
[49] Roger Southall (2005), 'Political change and the black middle class in democratic South Africa', *Canadian Journal of African Studies*, 38: 3, 521–42.
[50] SAIRR, *South Africa Survey 2000/1*, 376; *2009/10*, 254.
[51] *Sunday Times*, 28 January 2007 (reporting on a survey by the International Marketing Council).

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of whom hire themselves out to the state via consultancies and so on), is growing steadily, even while many are only modestly paid. This element has benefited from affirmative action and equity legislation which have brought about increased incomes, secure employment, and improved working conditions, all of these backed up by a high rate of unionization, even if – especially in the private sector – its upward movement is constrained by an invisible floating colour bar. Finally, there is a class fraction of black traders and business people. The majority still own or run small or medium size businesses, yet given a highly competitive business environment which whites continue to dominate, many are highly dependent upon state support (via supplier, procurement or direct assistance programmes offered by government under the rubric of broad-based BEE). Overall, the political weight of the trading bourgeoisie is minimal (if growing). It has an ambivalent relationship to the black corporate bourgeoisie, against which it is in constant competition, whilst simultaneously looking to it for leadership in battles against established white business. It is precisely its lack of independence which necessitates its connections with politicians at all levels of government, and has given rise to the phenomenon of 'tenderpreneurship'.[52]

Under the presidency of Thabo Mbeki, the increasing social differentiation amongst blacks, especially the character and lifestyle of the black elite, began to attract major attention. First, there was the rise to massive wealth, corporate power, and social visibility of the relatively few individuals who cropped up in the major empowerment deals of those years forged by large-scale capital, with Saki Macozoma, Cyril Ramaphosa, Tokyo Sexwale, and Patrice Motsepe at their head. They rapidly penetrated the top ranks of corporate power, so that by 2003, these four, alongside Lazarus Zim (then Deputy CEO of Anglo-American) and four leading 'state managers', could be nominated as members of South Africa's top twenty businesspeople (none had made the same list in 1993).[53] By that year, it was calculated that the top ten black Chief Executives presided over companies with a market capitalization of R41. 634 million. In 2005, the *Sunday Times* was able to report the movement into its otherwise white-dominated wealth 'rich list' of Motsepe (worth R2.8 billion), Sexwale (R260 million), and Marcel Golding (R135 million), (the last being Chairman of Hosken Consolidated Investments, the investment company of COSATU's clothing union). Other individuals who had entered the list included Andile Ngcaba, Gloria Serobe, and Smuts Ngonyama (because of their Elephant consortium's acquisition of a stake in Telkom), and Gary Morolo, Reuel Khoza, and Sam Nematswerani, (whose AKA capital was worth R243 million).[54] By 2007, the authoritative McGregor's *Who Owns Whom in Southern Africa*, ranked Motsepe, with a fortune of R7.94 billion, fourth out of the top 50 richest South Africans, followed some way behind by Sexwale (R979 million), Macozoma (R519.64 million); Ramaphosa (R490.53 million) and Golding (R360.87 million).[55] By 2011, Motsepe was listed as first, with JSE-listed investments of R22.9 billion, with Ramaphosa coming thirteenth with R2.22 billion.[56] Few doubted that this startling level of accumulation over

[52] Southall, op. cit.
[53] *Financial Mail*, 19 December 2003.
[54] *Sunday Times*, 21 September 2005.
[55] *Sunday Times*, 11 March 2007.
[56] *Sunday Times*, 4 September 2011.

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the short period since 1994 was an outcome both of the corporate sector's drive to strike up collaborative relations with the ANC and the Mbeki government's own determination to legitimize and 'blacken' capitalism.

With such enormous rewards on offer, it was not surprising that senior public office was seen by many within the new elite as a take-off point for entry into the high ranks of the corporate sector. Comparatively, senior political positions were already well paid: reportedly, in 2010, President Zuma was in relative terms the fourth highest paid head of state in the world, so presumably his ministers and their deputies were similarly located.[57] Meanwhile, because of a lapse in the law which allowed local councils to determine the salaries of their office holders, many mayors earned higher salaries than the President. But the big public money was to be earned at the top of the parastatals, so that in 2007, for instance, whereas Thabo Mbeki as President earned R1.27 million, parastatal CEOs consistently earned considerable more than that, ranging from the paltry R1.5 million earned by Dali Mopfu at the SABC up to R7.9 million earned by Maria Ramos at Transnet. Shaun Liebenberg, at the perennially loss-making Denel, earned R7.4 million and Khaya Ngqula at South African Airways made R5 million, despite SAA having made a loss the previous year of R883 million.[58] Often generous honoraria to parastatal board members could provide a valuable supplement to other income, especially as appointment to one often led to another across both the public and private sectors: in 2007, for instance, SAA's eleven board members held 136 directorships, ESCOM's fourteen board members held 128, and Denel's board members held 111.[59] Even so, despite relatively handsome pickings in the public sector, it was widely recognized that yet more serious money was to made elsewhere, with the result that years in party or public service were often deemed preparatory to movement into the private sector, where the imperative to gain healthy BEE credentials had opened up impressive avenues. Former ministers, director-generals and parastatal bosses regularly abandoned state office for private business, often taking up top corporate positions or forging lucrative BEE deals.

Finally there was the tendency for the black elite to flaunt its prosperity in contrast to the behaviour of the white business elite which, perhaps wisely, sought largely to hide its wealth behind the high walls of suburbia or its golf clubs (although they were never shy in showing off their expensive cars). Examples were many and varied, captured in a notorious statement by Smuts Ngonyama, the ANC's spokesperson under Mbeki, when he declared that he 'did not join the struggle to be poor', this in response to criticism of a BEE consortium he had formed with Andile Ngcaba, a former Director-General of the Department of Communications, and Gloria Serobe of the ANC Women's League, to purchase 15 per cent in Telkom in 2004.[60] By the time of the Zuma ascendancy, it was well established that the political elite was prepared to take quite shameless advantage of their generous perks of office. Large amounts were spent on official luxury vehicles[61] and improvements to official resi-

[57] *Sunday Independent*, 24 April 2011.
[58] *Financial Mail*, 18 July 2008.
[59] *Business Day*, 4 June 2007.
[60] *Business Day*, 16 December 2004.
[61] Between January and September 2009, ministers and premiers ran up a bill of R30 million on the purchase of official luxury vehicles, with among them Blade Nzimande – Secretary-General

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dences,[62] such expenditure justified by reference to what was allowed according to an Official Ministerial Handbook (which was declared confidential) as well as to the needs and expectations of office.[63] Meanwhile, calculations by the DA claimed that nineteen national government departments ran up bills of more than R3 billion on luxury travel, restaurants, and accommodation over the first nineteen months of the Zuma presidency.[64] Much was spent on 'bling', from lavish weddings[65] and anniversary celebrations[66] through to conspicuously extravagant behaviour such as the 'sushi parties' thrown by Kenny Kunene, an ANC-connected businessman, at which sushi was served off the bodies of semi-naked women.[67]

Kunene was openly criticized for his extravagance and for behaviour degrading of women by COSATU's Zwelinzima Vavi, yet just two years previously, the latter had himself staged a lavish wedding, featuring two horse-drawn carriages. The reception – funded by businessmen backing Jacob Zuma for the presidency – itself involved a blend of sexual and racial innuendo: 'We [are] here' stated a young waitress, 'because the BEE types like being served by young white girls.'[68]

Wealth, for many of the black elite, was for show, for demonstrating equality with whites. One black commentator declared that the very few black people who had acquired wealth should be allowed to enjoy it in the manner they deemed fit. It was good for blacks to display their wealth, for they were the 'visible proof to many destitute and discouraged children and adults that it is possible for one of their own…to make it':

of the SACP and Minister of Higher Education – unable to resist the temptations of a BMW750L at a cost of R1.1 million (see *Sunday Times*, 13 September 2009, reporting on findings of the Independent Commission for the Remuneration of Public Office-Bearers).

62 The cost of purchasing and renovating residences and offices for ministers following the appointment of the Zuma cabinet had come to R108,035,340 by March 2011 (*Mail & Guardian*, 11–17 March 2011).

63 'If the head of Interpol visits me I don't want him to find me living in a shack or a house with one pot', declared Police Commissioner Cele Bheki after purchasing a plush home in Pretoria (*Sunday Times*, 12 September 2010).

64 *Business Day*, 19 February 2010.

65 For instance, in October 2005, South African Airways CEO Khaya Ngqula treated guests to one of the most extravagant traditional wedding ceremonies the Eastern Cape had ever seen, having already sealed his marriage to former beauty queen Mbali Gasa, nineteen years his junior, in a R1 million western ceremony at the exclusive Zimbali Lodge on the KwaZulu-Natal north coast. The bride had been 'draped in a glamorous dress created by Indian designer, Neeta Lulla', who had dressed a number of top Bollywood film stars. 'The straight-cut garment was encrusted with Swarovski crystals [and had] a three metre long train.' In preparation for the traditional ceremony, he had managed to persuade the local authority to upgrade the local road leading up to his 'peach coloured double-storey home' at a village outside Kingwilliamstown (*Sunday Times*, 16 October 2005).

66 Commenting upon their plan for a five-day bash to celebrate their eighth wedding anniversary at the five-star Fairmont Hotel and Resort in Zimbali, Sibusiso Mpisane announced plans for an Egyptian royalty-theme party where they would be wearing identical outfits to those worn by pharaohs. 'We are a couple who like class', commented Mipisane, a former police constable in eThekwini (Durban) who drove a Lamborghini (*Sunday Times*, 20 March 2011).

67 Kunene repudiated Vavi's criticism that his wedding had cost R700,000: 'It cost more than that', (*Sunday Times*, 29 October 2010).

68 *Mail & Guardian*, 7–13 September 2007.

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> If you live in the townships or rural areas, please do not hide your success from us. We have seen enough battered cars and cheap suits in our lives. Please wear your latest suit when you come to our functions. Don't patronize us by dressing cheaply or by rocking up in an old Datsun, Mazda or Valiant.[69]

Julius Malema, President of the ANC Youth League agreed. When criticized for building a R16 million mansion in Sandhurst, Johannesburg's most exclusive suburb, he repudiated such criticism as the response of whites 'who always think Africans cannot and should not build houses of their own'. In his political life, he stated, he had learned 'the ability to live in the conditions of capitalism while fighting it and defeating it'. He did not exploit people and shared his money with the poor.[70]

The ambivalence about black wealth remains profound. On the one hand, the project of 'transformation' with its gospel of black empowerment and redistribution of wealth remains at the heart of the ANC's programme, connected to which is a strong desire for blacks to be seen as reaping 'white' success. On the other, there is growing appreciation of the perils of the blatant display of wealth. At a conference organized by the Black Management Forum in 2005, repeated criticisms were made that the black middle class was greedy, arrogant, and parasitic. Few of those attending were keen to own up to their own class identity, this ascribed by a black observer to the sense of guilt they felt about being members of a small privileged class living amidst a sea of black poverty.[71] Just months previously, Kgalema Motlanthe, then Secretary-General of the ANC, had blasted the black elite, complaining that BEE had become the preserve of the few, with key individuals benefiting from 'repeated bouts of re-empowerment'. BEE as it stood was about 'transfer' of wealth, not 'transformation', and needed to become more broadly-based.[72] He was soon joined by Finance Minister Trevor Manuel, who lamented the elite's get-rich-quick mentality, and Zwelinzima Vavi, who asked: '…How can we stop politics becoming discredited in the eyes of ordinary people if political office translates into a style of living way beyond the people who put us in office in the first place?'[73]

Criticism of the empowerment elite gave substantial impetus to Zuma's campaign for the presidency, even while Zuma himself received substantial backing from black business figures who either felt they had been left out in the cold under Mbeki or who looked to do better under his putative successor. Yet if the critics within the Alliance thought that the configurations of power and wealth would change under Zuma they were to be disappointed. By the time of the 2011 local government elections, continuous criticisms were being made by Vavi that the ANC under Zuma had become characterized by high levels of individualism and greed. The immediate problem for the ANC was that such a critique from inside its own camp could damage its hopes in the election, and Secretary-General Gwede Mantashe let Vavi know this in an abrupt manner. The more fundamental issue was that greed and corruption had become inherent in the way the ANC now operated.

[69] *Sunday Times*, 8 April 2007.
[70] *The Times* (Johannesburg), 21 July 2011.
[71] *Sowetan*, 20 October 2010.
[72] *Business Day*, 1 October 2004; 4 October 2004.
[73] *Mail & Guardian*, 15–21 October 2004.

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Politics and plunder in South Africa

Jonathan Hyslop has pointed out that the discussion around corruption in South Africa is fraught with conflicting historical claims and conceptual difficulties. He comments that corruption in South Africa is nothing new, and makes a valuable distinction between 'rent-seeking', where a rent is characterized as 'an income which is higher than the minimum which a firm or an individual would have accepted given alternative opportunities', ranging through monopoly profits through to subsidies and transfers, legal and illegal, organized through political mechanisms, and patron-client relationships, 'repeated relationships of exchange between specific patrons and clients'. Again, these may be legal or illegal, although it is unlikely that patrons unwilling to break the law will be able to retain their client base. Both have obtained in different eras in South Africa. For instance, NP governments favoured Afrikaner enterprises, while the expansion of Afrikaner-dominated parastatals favoured the rent-seeking of party supporters, with the Broederbond coordinating the patronage activities that lay behind this process. Suffice it to say here that he identifies an 'efflorescence of corruption' from 1972 (linked to the decline of the Verwoerdian mission and the expansion of the Afrikaner middle and capitalist classes) and an era of 'looting of the state' between 1984 and 1994 (associated with a grab for resources by state elites as the end of white rule loomed and as Bantustan bureaucracies consolidated).[74] His fundamental points are first, that both rent-seeking and patron-client relationships have continued into the new order, and second, that to ask whether corruption has become 'better or worse' since 1994 is very possibly the wrong question, not least because any answer is going to incorporate all sorts of ideological assumptions. He suggests that it is of greater interest is to explore how the culture and mechanics of the ANC and its commitment to transformation have framed predatory behaviour by party elites at different levels since 1994.

There is a widespread perception, fuelled by constant media reports, that corruption has become pervasive at all levels of government under the ANC. Very often this is promoted by liberal or conservative commentators, but it is also a view shared by elements within the ruling Tripartite Alliance itself. Interestingly, both discourses tend to combine critiques of rent-seeking (with the focus upon BEE) with those of patron-client relationships (with a focus upon illegal award of state contracts). Both claim a commitment to constitutionalism and legality, and deplore the morally and functionally enervating effects of corruption. However, the Alliance critique then becomes hobbled by the political consequences of both the acknowledgement and prosecution of corruption as well as the institutionalization of rent-seeking by the ANC as an organization in its bid to secure a massive flow of party funding (see Chapter 10).

In 2007, Kgalema Motlanthe, then Secretary-General of the ANC, conceded that the extent of the corruption within the organization was 'far worse than

[74] Jonathan Hyslop (2005), 'Political corruption: Before and after apartheid', *Journal of Southern African Studies*, 31: 4, 773–89.

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anyone imagines': 'This rot is across the board. It's not confined to any level or any area of the country. Almost every project is conceived because it offers opportunities for certain people to make money.'[75] He was confirming what was already being admitted openly by the ANC in a discussion document prepared for the party's July 2007 Policy Conference. The underlying premise of its analysis was that the challenge of transforming a racially polarized capitalist economy was providing opportunities for 'careerism, personal enrichment and corruption'. There were concerns that the ANC had opened itself up to the peddling of influence by donors; there was a lack of discipline which was 'symptomatic of a breakdown in our political culture'; entrepreneurship had become confused with 'adventurism of the pillaging sort'; the party had become attractive to morally dubious elements; and the ANC had failed to act swiftly and appropriately in cases of corruption even when comrades had admitted their guilt. In consequence, the name of the organization was often 'dragged through the mud' and cadres had learnt to make 'creative use' of the concept 'innocent until proved guilty'.[76]

Later in 2007, in the movement's annual report, Motlanthe lamented practices of gate-keeping, ghost members, commercialization of membership, rent-a-member, and other forms of fraudulent and manipulative practice, and recalled Lenin's warnings that a ruling party would always attract careerists. It was therefore imperative to ensure that the 'noble values and norms of the African National Congress' remained dominant.[77] Thereafter, admissions from within the Alliance that corruption was mounting became increasingly commonplace. In March 2010, for instance, SACP Deputy Secretary-General Jeremy Cronin warned that the 'honeymoon was over', and that the ANC risked losing support in much the way that ZANU-PF had done if the perception gained hold that a new elite was accumulating wealth on its own behalf. Debates about capitalism and socialism would become irrelevant 'if billions of rands get siphoned off through rent seeking'.[78] In 2011, Vavi submitted a report to COSATU's central committee in which he denounced a rising tendency within the ANC which was hell-bent on material gain, corruption, and looting, and referred to the 'prominence of a predator class, which relies on access to state levers for accumulation', a reflection of views he was regularly punting in the public arena at that time.[79]

Such openly expressed views within the Alliance mirrored analyses within wider society. Respected journalist Carol Paton could therefore comment with little fear of contradiction that there was 'unanimity in the Union Buildings and parliament, in the ranks of business and trade unions, that corruption is the biggest obstacle to achieving SA's social and economic goals'. She proceeded by citing an unofficial estimate 'doing the rounds in government' that the country was losing 20 per cent of its procurement budget each year through corrupt practices: 'rip-offs, overpricing and the failure of contractors to deliver what is

[75] *Financial Mail*, 19 January 2007.
[76] African National Congress (2007), 'Revolutionary morality: The ANC and business', discussion document, February.
[77] Kgalema Motlanthe (2007), '52nd National Conference: Organisational report', 17 December, paras. 45 and 63.
[78] *Business Report*, 17 March 2010.
[79] *Business Day*, 26 January 2011.

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promised'. If procurement at all levels of government amounted to around R150 billion, then the black hole left by corruption was probably around R30 billion a year.[80]

The consequences of the drift towards the predatory state are increasingly evident. First has been the exploitation of the ambiguities of BEE and affirmative action. White domination of the upper reaches of the economy continues to present very real dilemmas around the creation of black capitalist and managerial strata. The price of continuing white corporate failure to promote blacks internally within corporate structures has been the wholesale diversion of BEE into rent-seeking and cynical appropriation of resources in the name of 'transformation'. The cross-over between BEE and rent-seeking remains difficult to negotiate. The corporate embrace of the likes of Cyril Ramaphosa, Tokyo Sexwale, and Saki Macozoma through the advance of share deals and appointments in the early 1990s made total sense to white capital. Such individuals were manifestly talented, and within a short period were to become respectable corporate magnates in their own right even while remaining closely connected to the ANC. Yet their involvement and that of others who held party or state office in one deal after another, was to legitimate corporate and personal strategies of rent-seeking and to reduce 'transformation' to cynical exercises of corporate promotion and individual enrichment. Similarly, affirmative action at all levels of the state has displayed an alarming tendency towards patronage which, in prioritizing the importance of race and loyalty over qualifications and competence, has severely compromised the functionality of state and parastatal operations.[81]

Crony-style BEE also fertilizes close links between political influence and state procurement. These have grown exponentially as a result of three interlocking developments: first, ANC deployment of party loyalists to bureaucratic positions at national, provincial, and local institutions; second, ironically, the implementation of the Public Finance Management Act of 1999 which, although highly stringent, has decentralized procurement to provinces and individual government departments; and third, the demand for BEE, which has encouraged companies doing business with the state to form partnerships or fronts with black-owned businesses, frequently connected to politicians. 'All three developments opened the floodgates to extensive corruption of the supply chain at all three levels of government.'[82] Hence the rise of the phenomenon of 'tenderpreneurship', the allocation of state tenders by political appointees to politically connected entities and individuals.

The arms deal of 1998 remains the most celebrated case of tenderpreneurship, and probably the most damaging, not just because of its misdirection of massive resources, but because of the determination of powerful forces within the ANC to block its full and proper investigation by state entities. However, as already discussed, President Zuma was prompted into appointing a Commission of Inquiry into the Arms Deal in November 2011 to pre-empt a likely order to do so by the Constitutional Court, after new revelations had continued to make their way into the local and international media. In May 2011, for

[80] *Financial Mail*, 21 May 2010.
[81] Louis Picard (2005), *The State of the State in South Africa*, Johannesburg: Wits University Press.
[82] *Financial Mail*, 21 May 2010.

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instance, following investigations by Swedish authorities, the Swedish aerospace manufacturer Saab was forced into an admission that the account of its subsidiary, Sanip, had been used to pay the arms deal consultant, Fana Hlongwane R24 million in 'commission'. A former ranking commander in MK, Hlongwane had been special adviser to Joe Modise when he became Defence Minister. This was in return for his influence in ensuring that the South African government opted to purchase Gripen jet fighters to be supplied by Saab working in partnership with BAE. Subsequently, the DA's David Maynier released papers suggesting that BAE had paid a total of R98 million to Hlongwane via a front company, South African National Industrial Participation.[83]

Largesse from Hlongwane was extended to General Siphiwe Nyanda, formerly Chief of Staff of MK and from 1989 head of the SANDF. This took the form of a loan of R4 million when Nyanda resigned from the army in 2005, after which he became Chief Executive of Hlongwane's Ngwane Defence company. The loan was repaid in full on 11 May 2005, the day he was sworn in as Minister of Communications in the Zuma government. This event conveniently released Nyanda from the obligation as a minister and parliamentarian of having to declare a financial benefit that might have pointed back to the arms deal.[84] Thereafter, although he claimed to have withdrawn fully from the day-to-day operations of the company, General Nyanda Security Risk Advisory Services (GNS), in which his family trust owned a 45 per cent stake, Nyanda was revealed as having at least five contracts with government agencies. For one, Transnet Freight Rail had awarded GNS a tender for R55 million without proper tender processes having been followed. Likewise, tenders for R67.8 million and R19 million were awarded to GNS (by now known as Abalozi Security Services) by the Gauteng government without the tenders having been advertised. Exposure of the former deal led to the suspension by Transnet Freight Rail of its CEO, Siyabonga Gama (a known supporter, along with Nyanda himself, of Jacob Zuma). The government's disciplinary chairperson Nazeer Cassim pointed out that GNS had received the contract without any previous track record, with no employees, and had subcontracted the work involved to another company.[85] Although Nyanda hit back with court action to have the name of GNS/Abalozi cleared, Zuma felt obliged by the adverse publicity to redeploy him out of the cabinet in October 2010, subsequently appointing him to an advisory position in the presidency. However, before he lost his job, Nyanda had axed his Director-General, Mamapodu Mohlala, who had referred reports to the police and the Auditor-General, about how procedures for the award of tenders worth R70 million by the Communications Department had been flouted.[86]

Numerous other examples of apparent tenderpreneurship have hit the headlines at all three levels of government. At national level, a probe by the Special Investigating Unit into tenders awarded by the Department of Correctional Services was authorized by President Mbeki in March 2008 following allegations that the Minister, Ngconde Balfour, had received funding from undisclosed sources to

[83] *Sunday Independent*, 19 May 2011; *Business Day*, 24 June 2011.
[84] *Mail & Guardian*, 3–9 December 2010.
[85] *Mail & Guardian*, 29 January–4 February 2010; 1–8 April 2010; *Sunday Independent*, 4 April 2010.
[86] *Sunday Times*, 17 October 2010.

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settle outstanding amounts remaining on the purchase of one or more luxury cars.[87] One enterprising official in the agricultural department of North West province was suspended after allegations of having provided contracts to his own companies.[88] In Limpopo, a cluster of ANC politicians were accused in 2008 of having used political influence with Premier Sello Moloto to ensure that hugely valuable rights to mine platinum were awarded to their empowerment companies;[89] in the Eastern Cape, Nelson Mandela District ANC Chairman Nceba Faku encouraged his supporters to burn down the offices of the *Eastern Province Herald* after it had exposed a scam he had been involved in. When he was Mayor of Port Elizabeth, he had allegedly leased the eight-storey Kwantu Towers in the central business district for the municipality at inflated rates from a local entrepreneur, Yossuf Jeeva, with whom he had previously been in business. As the newspaper had noted, such deals were ultimately facilitated by banks (in this case Investec) which put up the money for black business persons to buy buildings on the understanding that they would use their political connections to lease them to government.[90] In May 2008, Minister of Local Government Lindiwe Sisulu admitted that corruption in the award of tenders, contracts relating to construction, and sale of land at local level was so rife, and leading to so many disputes, that the delivery of new housing in some parts of the country had 'ground to a halt'.[91] By mid-2011, there were official probes into the award of 433 tenders by the eThekwini metropolitan council during the 2009–10 financial year alone.[92]

So it went on, with multiple revelations of tender-rigging that taxed newspaper headline writers in their competition to come up with the most arresting puns, from the somewhat obvious 'Toilet tenders stink' to the more nuanced 'Water-tender dispute dries up delivery'.[93] The growing embarrassment to the ANC was matched by the escalating financial cost to government. In August 2009, Finance Minister Pravin Gordhan launched a project which combined agencies that reported to him (the Financial Intelligence Centre, the Auditor-General's office, the Accountant-General, and the SA Revenue Service) to tackle corruption in the government's supply chain. This led immediately to the cancellation of contracts to the value of R500 million. (Just a month previously, the government had cancelled a R4.4 billion contract secured by a technology firm, Gijima AST, to modernize the Department of Home Affairs' identity-verification technology.) Gordhan also started using hitherto unused powers provided to the National Treasury to inspect public finances in the provinces, and in June 2011 instructed government departments to stop doing business with some 120 blacklisted companies for ten years.[94] Despite passage of a Prevention and Combating of Corrupt Activities Act in 2004 which had empowered the authorities to black list tender fraudsters, this was the first time that any had been banned from future dealings with government.

In 2011, the cabinet was shocked by a report from the Auditor-General's

87 *Sunday Times*, 9 October 2009.
88 *Mail & Guardian*, 28 November 2008, http://www.mg.co.za/article/2008
89 *The Weekender*, 8–9 November 2008.
90 *Mail & Guardian*, 27 May–2 June 2011.
91 *Sunday Times*, 11 May 2008.
92 *The Mercury*, 13 July 2011.
93 *Mail & Guardian*, 13–19 May and 8–14 July 2011 respectively.
94 *Financial Mail*, 21 May 2010.

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office which recommended that the only way to put a stop to billions of rands of wasteful expenditure would be for the central government to take over the administration of more than a third of the country's 237 municipalities.[95] To observers' surprise, Gordhan was backed by Zuma, who proceeded to approve a Municipal Systems Amendment Bill, which banned local municipal officials from holding positions in political parties. Case studies indicate unambiguously that the merging of party with state is seen as the prerequisite by party elites for access to resources at local government level, with ANC branches being largely reduced to machines of patronage (save when they are revived to mobilize popular support at election times).[96] The Bill was an attempt to end the practice of deployment of petty politicians to positions in local government which required managerial, financial, and technical qualification. Yet however admirable the initiatives taken by government, they were largely confounded by a lack of capacity to implement them, or by politicians' and officials' active subversion. Thus a damning report by the Public Service Commission tabled in parliament in September 2010 had shown that while 251 officials had been found guilty of misconduct and 30 arrested since the launch of an official anti-corruption hotline in 2004, the number of cases reported had been 7,529.[97] Indeed there had been a recent decline in the government's responsiveness to corruption cases, and wasteful expenditure had rocketed. Corruption, claimed a respected academic, was so endemic that it was reaching a point of no return.[98] His argument was underlined by significant opposition to Zuma's move to ban the practice of deployment to local government, and it was denounced by the South African Municipal Workers' Union as an infringement of the right of local officials to belong to political parties.

The fundamental problem facing anti-corruption initiatives was the vested interests of politicians, officials, and 'tenderpreneurs' who blocked or sought to delegitimize investigations and prosecutions. As indicated, investigations of the arms deal had been regularly kicked into touch, apparently at the behest of the highest rank of politicians, until Zuma's hand was forced by the Constitutional Court. Prosecutions of a handful of figures implicated in the deal had proceeded, with Schabir Shaik being sentenced to a jail term of fifteen years.[99] In contrast, the prosecution of Jacob Zuma had been vigorously opposed by his supporters within the Tripartite Alliance, who denounced it as politically driven by Thabo Mbeki. Ultimately political pressure upon the then Public Protector forced him to drop the case. Other examples abound. In the Northern Cape, John Block, a powerful figure who rose politically through the ranks of the ANCYL and built a lucrative property empire faced numerous allegations of corruption. Nevertheless he was re-elected chair of the party's provincial executive in August 2008, and was beneficiary of debt write-offs by the //Khara Hais municipality. He was subsequently

[95] *Business Day*, 13 May 2011.

[96] Musawenkosi Malabela (2011), *The African National Congress and Local Democracy: The Role of the ANC Branch in Manzini-Mbombela*, MA research report, Department of Sociology, University of the Witwatersrand. .

[97] *Mail & Guardian*, 29 October–4 November 2010.

[98] Wits academic Ivor Sarakinsky, at an anti-corruption seminar staged by the SACP (*Business Day*, 30 March 2010).

[99] He was soon released from jail, serving the remainder of his sentence at his home on grounds of terminal illness. Once home he displayed a remarkable capacity to defy death, his health significantly improved by highly publicized rounds of golf.

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appointed provincial MEC for Finance and Economic Affairs, even after he was arraigned by the Hawks, and charged with corruption and fraud in November 2011.[100] In KwaZulu-Natal, the NPA and the Hawks also charged the provincial legislature's speaker, Peggy Nkonyeni, and the MEC for Economic Affairs and Tourism, Mike Mabuyakhulu, with receiving a donation of R1 million to the party from South American businessman, Gaston Savoi, in exchange for a R45 million tender to supply water purifiers to state hospitals at inflated prices. Known as the Intaka case, this action was denounced by the provincial organizations of the ANC, COSATU, and the SACP as 'an internally hatched plot'.[101] However the charges were later controversially withdrawn against Nkonyeni and Mabuyakhulu, the opposition DA querying the statement of the KwaZulu-Natal NPA that there was no prospect of a successful prosecution.

Efforts to challenge corruption brokers can prove extremely dangerous. In March 2009, a local councillor, Moss Phakoe, who had handed over a dossier of tender allegations about office bearers and officials in the Bojanala District Municipality in North West province was gunned down. Phakoe's allegations appeared to contribute to the removal of Mathew Wolmarans as Mayor, but within months the latter was elected to the ANC provincial executive and returned to the council as speaker.[102] Solly Phetoe, the COSATU provincial secretary who had mobilized for more robust action by the police was thereafter reported as living in fear of his life. In Mpumalanga, in May 2010, Bomber Ntshangase, an SACP activist in the town of Bethel who had asked questions about the award of a contract to upgrade the hostel in which he lived was also assassinated. At the time of writing it is just the latest in a string of at least eleven murders in the province apparently linked to corruption.[103] In April 2010, the Mayor of Sabata Dalindyebo Municipality and his bodyguard were charged by police with having paid R10,000 to a hitman to assassinate five prominent provincial leaders of the ANC, their lawyer responding that the plot was a spin-off from internal party factionalism.[104] Early in July 2011, KwaZulu-Natal provincial politics were thrown into turmoil by the gunning down of ANC eThekwini's regional secretary Sibusiso Sibiya. Speculation linked his death to his having crossed an opposing faction within a metropolitan council whose budget exceeded R28 billion.[105] This was followed in May 2012 by the assassination of Owen Camagu, a prominent ANC/SACP member in the Nelson Mandela Metropolitan Municipality, and only a month later by the killing of Wandile Mkhize, ANC chief whip in the Hibiscus Municipality and a key player in provincial politics.[106] As R.W. Johnson has indicated, the elimination of rivals within the party is a longstanding tradition within the ANC.[107]

[100] *Mail & Guardian*, 10–16 December 2010.
[101] *Business Day*, 2 August 2011; *Natal Witness*, 2 October 2012.
[102] *Mail & Guardian*, 10–16 June 2011.
[103] *Financial Mail*, 21 May 2010.
[104] *Mail & Guardian*, 8–14 April 2010.
[105] *The Mercury*, 13 July 2011.
[106] *Business Day*, 2 July 2012.
[107] Johnson relates the tradition to Joe Modise's alleged culpability in the assassination of Chris Hani, but his text is littered with numerous unresolved killings of ANC activists involved in inter-party battles, these quite separate from ANC-driven killings of political opponents in local communities. See R.W. Johnson (2009), *South Africa's Brave New World: The Beloved Country since the End of Apartheid*, London: Allen Lane.

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Party, class, and ideology

Fanon's analysis of the native middle class in postcolonial underdeveloped countries argues that having practically no economic power, it hopes merely to replace the departing middle class of the former colonial rulers. Without economic means, it is not engaged in production: rather 'it is completely canalized into activities of the intermediary type'. Lacking material and intellectual resources, this national bourgeoisie aspires to step into the shoes of the former European settlement: 'doctors, barristers, traders, commercial travellers, general agents and transport agents'. Its mission has nothing to do with transforming the nation; rather it consists in becoming the transmission line between the nation and a capitalism which puts on the mask of neo-colonialism. This 'same lucrative role, this cheap-jack's function, this meanness of outlook and this absence of all ambition symbolize the incapability of the national middle class to fulfil its historic role of the bourgeoisie'.[108]

The NLMs of southern Africa all expressed the intention to escape the fate reserved for the postcolonial national bourgeoisie of Fanon's unflattering description. While agreeing that the racially oppressed middle classes were small, lacked capital, and occupied 'intermediary' positions, they saw the role of the party as being to ensure that the emergent national bourgeoisie would 'repudiate its own nature in so far as it is bourgeois', and rather 'make itself the willing slave of the revolutionary capital which is the people'.[109] Yet how realistic was such a prospect in southern Africa?

The transitional settlements imposed obstacles to 'transformation'. As the idea of the 'racial bargain' implies, it was generally understood that whites would be steadily replaced in the public service by incoming blacks and should expect to withdraw to the private sector and professions, albeit with provision being made for retention of those with key skills. However, while priority was given to the 'transformation' of the state, subsequent demands that the private sector and professions adopt far-reaching programmes of BEE and indigenization indicated that the racial bargain was to be a continuously developing process. As it happened, it collapsed quite swiftly in Zimbabwe not only because of the precipitous economic decline and the seizure of white farms but also because of the lack of deep roots of many settlers, which predisposed them to emigrate rather than to face up to the consequences of black rule. In contrast, while the public services of both Namibia and South Africa were facing rapid change, the deeper roots of the white communities in both these countries were to render the racial bargain more viable and more lasting, even though as time wore on, demands for the racial transformation of the private sectors and professions became increasingly pressing.

Notwithstanding their variance, the racial bargains were crucial to the deracialization of social inequality. The extensive history of racial preference under settler colonialism and apartheid had long guaranteed white pay, pensions, and job security in the public services, not least by creating artificial shortages of

[108] Frantz Fanon (1974), *The Wretched of the Earth*, London: Penguin, 119–24.
[109] Ibid.

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skilled and qualified labour in the middle to upper reaches of the civil service. In free market terms, whites had quite simply been paid too much – yet the transitional settlements sought to allay white fears and to stabilize new democracies by shoring up their positions, if only for an introductory period. Thus the social effects of racial transformation were double edged. On the one hand, 'transformation' as the pursuit of racial equality was interpreted as the upward advance of the formerly racially oppressed to equal pay scales, perks, and privileges with whites, for to do otherwise would be viewed as racially discriminatory. On the other hand, concerted black upward movement into artificially well-paid, middle to higher public service jobs confirmed existing income inequalities in wider society rather than seeking to narrow them.

When combined with deployment, the racial bargains provided not merely for the development of party-state bourgeoisies but for emergent alliances with established white capital. The political settlements were designed to provide the stability that white capital required, not least by blunting the liberation movements' more radical demands with the incorporation of their elites into the economic structures of settler colonialism. In so doing, they opened themselves up to rent-seeking by the new nationalist elites whose demands for transformation were to become formalized into BEE programmes or a campaign for indigenization. These came at the expense of any lingering hopes for 'socialism', but not to the notion of the NLM as the 'vanguard' – for this remained central to the project of accumulation by the emergent party-state bourgeoisies.

The ZANU-PF elite underpinned its rent-seeking activities with elaboration of a 'command economy'. The party's official socialist ideology provided a convenient justification for stronger and direct control of the economy during the 1980s, using the private sector as a milch cow. Meanwhile, the public sector became a valuable resource for political patronage, with party loyalists being deployed to positions across an increasingly bloated state and parastatal sector. Inevitably, this model of accumulation had its limits, for the command economy imposed severe constraints upon the capacity of the capitalist sector (notably in manufacturing) to modernize. When the economic crisis arrived in the 1990s, any prospects an alliance between the ZANU-PF elite and white capital were dashed. Economic liberalization required a change in tactics towards 'indigenization', while the populist demands of the war veterans prompted the party-state bourgeoisie to lurch more aggressively into 'primitive accumulation'. Thereafter, the productivity of the private sector declined, while the party-state bourgeoisie, increasingly intertwined with the military, adopted Mafia-like behaviour, resulting in the effective criminalization of the Zimbabwean state.[110]

The fundamental difference in Namibia and South Africa is that while both SWAPO and the ANC continue to adhere to the notion of the party as the revolutionary vanguard of transformation, the private sector has always been more powerful than in Zimbabwe, more industrially advanced, and far more robust. In short, it has had a greater ability to absorb the rent-seeking behaviour of the incoming political elites whilst simultaneously providing the surplus necessary to provide for programmes of limited redistribution. Broadly speaking, the racial bargains have been maintained, resting significantly upon a class alliance between the party elite's implementation of market-oriented policies, and

[110] Compagnon, op. cit., 92.

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corporate capital's offering of position, privilege, and profit to such political figures, based upon the latter's 'political connectivity'. Yet this model of accumulation is increasingly bringing its own strains, primarily due to its limited effect on patterns of social inequality and economic inclusion. While both countries, most notably South Africa, have seen the emergence of a significant (albeit still small) black middle class, whites remain economically predominant, and on the whole, have fared relatively well since the end of apartheid. Meanwhile, the financialization of the South African economy, the continuing trends towards capital-intensity within the MEC, and the levels of de-industrialization experienced in key manufacturing sectors, have ensured that levels of unemployment have remained brutally high. The wider trend towards the informalization and casualization of employment within the private sector reinforces the problem.

The outcomes of the pattern of accumulation have been twofold. First, they have led to increasing assertions by the party-state bourgeoisie in each country that the market must give way to the 'developmental state'. Such a demand is not in itself unconvincing for there is evidence aplenty that unbridled market capitalism is unlikely, if not unable, to provide for the needs of the poorest of the global poor. Yet while the ANC, in particular, continues to call for the creation of a 'patriotic bourgeoisie', the character of the latter is seen as umbilically linked to its acceptance of the leadership of the state. Second, given the power of established capital and the centrality of state contracts to the development of such a patriotic bourgeoisie, the tendency towards not only rent-seeking but tender-fraud and outright looting of the public purse is reinforced. This in turn leads to the factionalization of the ruling party, centred on the scramble for state resources, and the extension of political protection from prosecution to some but not to others. As in Zimbabwe, there is an inherent tendency for the liberation movement to become a mafia. While this revolves around factional networks, it also assumes an institutional form as the party itself comes to feed directly off the state.

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